



SILVER SHORE
Off-Market M&A Deal Network

Business Sale Preparation Checklist

A quick & practical guide to getting organized before you talk to buyers.

This checklist shows what to prepare, why it matters, and how to present your business clearly so serious buyers can move faster and you stay in control.

How to use this checklist

Work top to bottom and do not worry about perfection. If something is missing, write down what it is, assign someone to handle it, and note what you do have. Your goal is to be organized and consistent so you are not scrambling when a buyer asks for something mid process.

Before you start, set up your system

These simple rules make the preparation process easier and remove buyer confusion later.

- **Pick one person** to organize the required information.
- **Create one folder** for all documents and spreadsheets.
- **Use simple file naming:** Category, Document, Period, Date.
 - Example: Financial, Monthly P&L, 2024 Quarter 3, 4/15/26.

Note: If you would like help packaging your materials or starting confidential buyer conversations, you can reach out to SilverShore for a quick assessment at **Shane@silvershorepartners.com**



Business Sale Preparation Checklist

Why you may be considering a sale

You may want to sell for different reasons. The best outcomes usually happen when you make the decision proactively and your business is still operating from strength, not because you feel forced by burnout, a surprise event, or a down year.

1. **You may want liquidity and diversification** because you want to convert years of value creation into personal financial freedom, reduce how much of your net worth is tied to one asset, and create options for what comes next.
2. **You may want to step back** because the day to day pressure has added up, you want more time and flexibility, and you want the business to run without you being the bottleneck.
3. **You may want a growth partner** because you see an opportunity to expand, invest in sales & systems, enter new markets, or pursue acquisitions, & you want capital to move faster with less risk.
4. **You may want a succession plan** because you want a clean leadership transition, you care about protecting employees and customers, and you want to choose the right next steward for what you built.
5. **You may want to reduce risk** because customer concentration, supplier reliance, regulation, cyclical, or key person dependency feels too exposed, and you would rather de risk while performance is strong and buyers are willing to pay for stability.

Note: Whatever your reason, preparation protects your leverage and legacy. Organization reduces surprises in diligence and signals operational competence to serious buyers.



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Phase 1: Get clear on the deal you want (30 Minutes)

If you are not clear on what you want, you will waste time talking to the wrong buyers. **Get clarity first.**

- **What type of deal do you want:** full exit, partial sale, minority investment, or recapitalization?
- **What do you want your role to be after closing:** walk away, transition for six to twelve months, or stay involved long term?
- **What is your timeline:** exploratory, or do you have a real deadline?
- **What are your non-negotiables:** protecting employees, preserving culture, staying local, moving fast, or something else?

Note: Clarity here helps you screen buyers quickly & prevents months of conversations that would never be a fit.

Company overview information (15 minutes)

Buyers will ask for a clear snapshot of what the company does and how it has evolved. Having this ready makes early conversations faster and helps you tell a consistent story.

- **Company history:** founding year, key milestones, and what changed as you grew.
- **Products and services:** what you sell, who you sell to, and how you deliver value.
- **Core assets:** facilities, equipment, software systems, intellectual property, and any owned real estate.
- **How the business makes money:** pricing model, gross margin drivers, and what is most repeatable.

Note: If you want help, SilverShore can create a buyer ready company overview and help organize it alongside your core materials.



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Phase 2: Core financials (1-2 days)

Buyers start here in diligence. Clean financial organization builds confidence and prevents delays.

Create your financial reporting folder

- Last 3 years of annual financial statements, including profit and loss and balance sheet.
- Trailing 12 month profit and loss, covering the most recent twelve months of performance.
- Monthly profit and loss for the last 24 months to show seasonality and trends.
- Accounts receivable aging and accounts payable aging.
- Bank statements for the last 12 months, or at minimum the most recent 6 months.
- Business tax returns for the last three years saved in a tax sub fold

Note: This folder is not for sharing everything early. It is for having everything ready if and when a serious buyer requests proof of cash and payments.

Create your add backs document

What are add-backs? Add-backs are expenses that won't continue under new ownership or are personal expenses you ran through the business. This directly affects valuation.

- Create an add backs list with a description, the amount, why it is non recurring or owner specific, and where it shows up in the books.
- If you cannot tie an item to the general ledger and show support, leave it out.
- Document common categories such as owner personal expenses, one time costs, above market owner compensation, non operating expenses, and non working family payroll.

Common add backs to document clearly

- **Owner personal expenses** (vehicle, meals, travel, phone, home office), **One-time costs** (legal fees, moving, buildout, severance), **Above-market owner compensation** (if you overpay yourself), **Non-operating expenses** (donations, sponsorships), etc.

Note: Buyers will challenge every add back. Clear support keeps credibility and protects value.

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Phase 3: Corporate and legal cleanup (1-2 days)

Make ownership, authority, and contracts easy to confirm. Buyers need to know you own what you are selling and you have the authority to sell it.

Create your corporate and ownership folder

- Formation documents such as articles of incorporation or certificate of formation.
- Operating agreement or bylaws that define ownership and decision making.
- Ownership records such as a cap table or membership ledger showing who owns what percent.
- Debt summary listing any loans, credit lines, or financing with current balances.
- Subsidiaries or related entities, with a simple description of how they interact.

Create your contracts folder

- Customer contracts, especially your largest customers.
- Supplier and vendor agreements for critical providers.
- Real estate leases for office, warehouse, or retail space.
- Loan agreements, including any personal guarantees you signed.
- Equipment leases for vehicles or machinery.
- Software licenses and any intellectual property licenses you rely on.

Create your risk, compliance, and insurance folder

- Licenses and permits required to operate.
- Insurance policies such as general liability, workers compensation, property, auto, and cyber if applicable.
- Litigation summary for pending, threatened, or resolved matters with context.
- Any past regulatory notices or audits if applicable.

Note: Incomplete corporate or contract records slow deals down and create trust issues. Clean organization here keeps momentum.



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Phase 4: Customers and revenue proof (1 day)

Buyers want to understand where revenue comes from and how stable it is. Prepare the proof, then control when you share it.

Create your customer revenue folder

- Top customers list showing revenue by customer for the last twelve to twenty four months.
- Customer concentration summary showing the percent of revenue from the top five and top ten customers.
- Key customer contracts and amendments for your biggest relationships.
- Retention or repeat purchase rate if you track it.
- Pricing overview showing how you price products or services.
- Backlog or pipeline snapshot for signed work and active proposals if applicable.

Note: Do not share customer names or contracts until an NDA is signed. Diversified and sticky revenue usually earns better terms.

Phase 5: People and HR (1 day)

Buyers want to know who does what, what it costs, and whether key people will stay through transition.

Create your team documentation folder

- Org chart showing who reports to whom.
- Employee roster with names, roles, start dates, and full time or part time status.
- Compensation summary with total payroll by department or role, and specific detail for executives.
- Employment agreements, non competes, and any incentive plans for key people.
- Benefits overview such as health insurance, retirement plans, and paid time off.
- Key employee list naming one to five people who would be hard to replace and why.

Note: If roles, payroll, or key employee risk is unclear, buyers get cautious and terms get worse. Clarity reduces perceived risk.

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What you accomplish by completing this checklist

When you complete the sections above, you will have a buyer ready foundation that covers the core questions buyers ask before they issue a serious offer.

- Clarity on what you want and what you are selling.
- Financial proof that the business is real, profitable, and explainable.
- Legal proof that you own it and can sell it.
- Revenue proof that shows where money comes from and how stable it is.
- Team proof that shows the business can operate without you being the bottleneck.

Suggested data room structure

- Deal summary document, including seller priorities, goals, and boundaries.
- Company overview information.
- Financial reporting folder.
- Corporate and ownership folder.
- Contracts folder.
- Risk, compliance, and insurance folder.
- Customer revenue folder.
- Team documentation folder.

Final quality check before you share anything

- File names are clear and dated.
- Financials reconcile to tax returns, or you can explain the differences.
- Add backs have supporting documents.
- Customer list matches your revenue reports.
- Contracts are signed, unsigned contracts do not count.
- One person owns the folder and knows where everything is.



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How SilverShore can help (Find a buyer in 90 days)

If you want support completing the checklist or beyond, SilverShore can help you get real conversations started while you stay focused on running the business. We help you organize and polish the core materials, then we privately introduce you to qualified investors who match your goals and timeline.

Here is what that support can look like.

- ★ **Packaging and organization:** We help you build a clean, buyer aligned data room with consistent naming, a clear folder structure, and the right level of detail so you are not scrambling once requests begin.
- ★ **Company story and buyer materials:** We help you create a simple company overview that explains what you do, how you make money, what is most repeatable, and what buyers should care about, plus a tight set of supporting exhibits that hold up in diligence.
- ★ **Targeted outreach and introductions:** We identify a list of buyers who fit your business and preferences, send a no name teaser to protect confidentiality, require NDAs before sharing identity, and coordinate the first calls so you can move faster with less distraction.
- ★ **Process guidance while you stay in control:** We help you screen buyers, maintain momentum, and avoid common pitfalls that lead to delays or retrades, while you keep control of what gets shared and when.

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